

Understanding Interest Rates and Banking

Introduction

Interest is the price paid for borrowing money and the reward earned for saving money.

Simple Interest

Formula: $SI = (P \times R \times T) / 100$

Where:

P = Principal

R = Rate

T = Time

Compound Interest

Formula: $A = P(1 + r/n)^{nt}$

Where:

A = Final Amount

P = Principal

r = Interest Rate

n = Compounding Frequency

t = Time

Types of Interest Rates

- Fixed Interest Rate
- Floating Interest Rate
- Effective Annual Rate
- Nominal Interest Rate

RBI and Monetary Policy

The Reserve Bank of India regulates monetary policy through:

- Repo Rate
- Reverse Repo Rate
- Cash Reserve Ratio
- Statutory Liquidity Ratio

Repo Rate

The rate at which RBI lends money to commercial banks.

Effect of Interest Rates

Higher Interest Rates

- Reduce borrowing
- Increase savings

Lower Interest Rates

- Encourage borrowing
- Promote spending

Savings Products

- Savings Accounts
- Fixed Deposits
- Recurring Deposits

Loans

- Home Loans
- Education Loans
- Personal Loans

- Vehicle Loans

Factors Affecting Loan Rates

- Credit Score
- Income
- Loan Tenure
- Economic Conditions

Financial Planning Tips

- Compare rates before borrowing
- Maintain a healthy credit score
- Avoid excessive debt